ROYALTYOS / CONTRACT PARSING TEST SUITE

Multi-Stream Revenue Allocation & Source-Specific Royalty Agreement

Separate revenue buckets, separate loss carryforwards, individual reserves, and independent source-specific performance triggers.

SYNTHETIC TEST DOCUMENT

The parties, addresses, thresholds, balances, formulas, and payments in this document are fictional test data. This document is designed to exercise contract extraction and payout-calculation logic. It is not legal, tax, accounting, or investment advice and should not be signed or relied on as an operative agreement.

PARTIES AND CANONICAL ROLE KEYS

RoyaltyOS party key	Contract role	Payout email supplied in test screen
ARTIST	Artist	sb-chtub531737750@business.example.com
FEATURED_CREATOR	Featured Creator	sb-chtub531737750@business.example.com
MANAGER	Manager	sb-evnqd5317862@personal.example.com
PRODUCER	Producer	sb-evnqd5317862@personal.example.com

Document metadata	Value
Test ID	ROS-04
Calculation model	Four independent source ledgers; each source has its own net base, reserve rate, royalty split, and switch conditions.
Primary stress case	No cross-collateralization across revenue sources; tier triggers from different sources cannot be accidentally applied globally.
Currency / statement cadence	USD / monthly close unless a clause expressly defines a quarterly measurement window
Named recipients	Artist, Featured Creator, Manager, Producer only

Use each PDF as an independent contract scenario. Do not merge a balance, threshold counter, reserve ledger, or payout history from one PDF into another.

1. Parties and covered revenue sources

This test agreement covers receipts for one Project received from four source categories: (S) Digital Streaming, (L) Synchronization and License Fees, (M) Merchandise and Direct-to-Consumer Sales, and (V) Live or Virtual Events. Only Artist, Featured Creator, Manager, and Producer receive participant allocations. Merch units, revenue-source labels, and email destinations are attributes, not additional parties.

2. Source-bucket net receipts and loss carryforward

Each source has its own Gross Receipts G_s,t, Permitted Deductions D_s,t, prior Loss Bank L_s,t-1, Net Source Base N_s,t, reserve, and pool. Permitted deductions include actual platform/payment fees, transaction taxes remitted, refunds/chargebacks, and documented source-specific costs. Direct project costs must be assigned to the source that caused them; a cost may not be deducted from two sources.

Per-source net base and loss bank

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N_s,t = max(0, G_s,t - D_s,t - L_s,t-1)
L_s,t = max(0, L_s,t-1 + D_s,t - G_s,t)
H_s,t = min(r_s * N_s,t, max(0, Cap_s - (ReserveBalance_s,open - U_s,t)))
P_s,t = N_s,t - H_s,t + U_s,t
Total Royalty Pool_t = P_S,t + P_L,t + P_M,t + P_V,t
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The loss bank is source-specific and non-cross-collateralized. A deficit in Merchandise can only be recovered from later Merchandise source receipts; it may not reduce Streaming, Sync, or Live royalty pools. Loss banks cannot be negative. Reserve balances and release cohorts are also maintained separately by source.

3. Source-specific reserve settings

Reserve matrix

Source key	Source	Reserve rate	Reserve cap	Release rule
S	Digital Streaming	5% of N_S	$20,000	50% of each cohort at 90 days; 50% at 180 days
L	Sync / License Fees	12% of N_L	$25,000	50% of each cohort at 90 days; 50% at 180 days
M	Merchandise / DTC	10% of N_M	$15,000	50% of each cohort at 90 days; 50% at 180 days
V	Live / Virtual Events	8% of N_V	$10,000	50% of each cohort at 90 days; 50% at 180 days

Reserve releases are added to the pool for the same source and are not reserved again. A cohort may be delayed only for the amount of a directly attributable unresolved refund or chargeback. The reserve cap is tested after any releases due during the current statement are posted.

4. Base split and source-specific triggers

Base split and modifier matrix

Source	Base Artist	Base Featured Creator	Base Manager	Base Producer	Trigger and effective split
S - Streaming	45%	25%	12%	18%	If the preceding completed calendar quarter’s N_S total >= $75,000: 48 / 24 / 10 / 18. Otherwise base.
L - Sync	38%	30%	12%	20%	If lifetime N_L before statement >= $100,000: 43 / 27 / 10 / 20. The change applies from the next statement after the threshold is first crossed.
M - Merch	32%	12%	10%	46%	If cumulative net units sold >= 5,000: 38 / 12 / 10 / 40. Net units = units sold less accepted returns.
V - Live / Virtual	34%	28%	14%	24%	If the preceding completed calendar quarter’s N_V total >= $30,000: 32 / 32 / 13 / 23. Otherwise base.

The active split is chosen independently for each source. Streaming and Live/Virtual performance triggers use only the immediately preceding completed calendar quarter, not the current quarter-to-date. The Sync lifetime

threshold uses the lifetime sum of N_L, excluding reserve releases. Merchandise uses cumulative units sold less accepted returns. An active modifier for one source never changes another source's percentages.

5. Monthly calculation order

Required order of operations

1. Assign each cleared receipt and each deduction to exactly one source.
2. Calculate each source loss bank L_s,t and N_s,t.
3. Post reserve releases U_s,t, then calculate new holdbacks H_s,t.
4. Calculate each source pool P_s,t = N_s,t - H_s,t + U_s,t.
5. Evaluate that source's trigger using its stated measurement window.
6. Apply that source's split percentages only to P_s,t.
7. Sum the four source-specific participant payouts by party.
8. Round only final per-party total payout to cents; preserve unrounded source details.

If a modifier first becomes true because of the current statement's receipts, apply it beginning with the next stated effective period. Streaming and Live quarter triggers become effective in the first monthly statement after quarter-end. Merchandise and Sync triggers are prospective starting in the next statement after their respective counter reaches the threshold. This rule prevents the current statement from being split using a threshold that it itself creates.

6. Worked all-source statement

The following example assumes no matured reserve releases and no opening loss banks. Trigger states are intentionally mixed: Streaming High is active; Sync threshold is already active; Merchandise has more than 5,000 net units; Live/Virtual High is inactive.

Source pools

Source	Gross / deductions	Net base N	Holdback	Pool P	Effective split A / FC / M / P
S - Streaming	$50,000 / $8,000	$42,000	$2,100	$39,900	48 / 24 / 10 / 18
L - Sync	$80,000 / $10,000	$70,000	$8,400	$61,600	43 / 27 / 10 / 20
M - Merch	$40,000 / $15,000	$25,000	$2,500	$22,500	38 / 12 / 10 / 40
V - Live	$30,000 / $6,000	$24,000	$1,920	$22,080	34 / 28 / 14 / 24
TOTAL			$14,920	$146,080	

Participant allocation by source

Party	Streaming	Sync	Merch	Live / Virtual	Total payout
Artist	$19,152.00	$26,488.00	$8,550.00	$7,507.20	$61,697.20
Featured Creator	$9,576.00	$16,632.00	$2,700.00	$6,182.40	$35,090.40
Manager	$3,990.00	$6,160.00	$2,250.00	$3,091.20	$15,491.20
Producer	$7,182.00	$12,320.00	$9,000.00	$5,299.20	$33,801.20
TOTAL	$39,900.00	$61,600.00	$22,500.00	$22,080.00	$146,080.00

Critical assertion

Each source column must sum to that source pool. The grand total of the four parties' payouts must equal $146,080.00. The $14,920.00 holdback is excluded from participant payouts and remains in reserve.

7. Reporting and corrections

- The statement must show source, G, each D category, opening and closing loss bank, N, reserve cap and balance, matured releases, active trigger measurement, effective split, source pool, and payout per party.

- Issue statements monthly within 15 calendar days and pay undisputed amounts within 10 business days.
- A correction assigned to one source may not be rebooked to another source simply to reduce the royalty amount. Reclassification requires source evidence and a linked correction record.
- Amounts below $100 for a party in the aggregate carry forward in that party’s payable account and are not redistributed.

8. RoyaltyOS source-isolation tests

Source-level boundary tests

Test	Input	Required result
Loss isolation	Merch opening loss bank $5,000; Merch G $2,000; D $0; Streaming pool $10,000	Merch N=$0 and loss bank=$3,000; Streaming split and pool unchanged.
Streaming boundary	Prior quarter N_S=$74,999.99 / $75,000.00	First uses base; second uses 48/24/10/18 prospectively.
Sync boundary	Lifetime N_L at opening=$99,999.99 / $100,000.00	First uses base; second uses modified split.
Merch units	Net units=4,999 / 5,000	First uses base; second uses 38/12/10/40.
Live boundary	Prior quarter N_V=$29,999.99 / $30,000.00	First uses base; second uses 32/32/13/23.
No cross-collateralization	Negative live balance and positive sync pool	Live loss does not reduce sync payout.

SIGNATURES / TEST FIXTURE ACKNOWLEDGMENT

The signature area exists to test extraction of named signatories and execution blocks. No signature is populated, and the conspicuous synthetic-test designation overrides any appearance of legal execution.

Canonical party key	Authorized signature	Date
ARTIST	_____	_____
FEATURED_CREATOR	_____	_____
MANAGER	_____	_____
PRODUCER	_____	_____